

OTS-02 FAQs

1. Which family of time-series models can be used to predict volatility?

One can use various models of volatility prediction like ARCH and GARCH.

2. What should be the best trade if one is bullish on the market?

Depending on how bullish one is, different options strategies can be deployed. For example, if one is very bullish buying a call option will make sense. If one is moderately bullish, then creating a bull call spread or selling a put option would make more sense. So, it would depend on the market outlook and risk preferences of the trader.